

RACE FOR CAPACITY

M&A DEALS IN THE CEMENT INDUSTRY

● UltraTech Cement and Ambuja Cements have been hyperactive on buyouts ● The last few deals have come primarily from south India

Year	Target	Acquirer	Region	Capacity (mtpa)	EV/tonne(\$)
2016	Reliance Cement	Birla Corp	Central/West	5.5	105
2016	JPA Group Gujarat	UltraTech	West	22.4	91
2016	Lafarge Cement	Nuvoco Vistas	East	11	102
2018	Kalyanpur Cement	Dalmia Bharat	East	1.1	44
2018	Century Cement	UltraTech	Central/West/East	11.4	85
2018	Binani Cement	UltraTech	North	8.6	111
2019	Murli Industries	Dalmia Bharat	West	2.9	54
2020	Emami Cement	Nuvoco Vistas	East	8.3	79
2021	Bhavya Cements	Anjani Portland	South	1.4	51
2022	ACC+Ambuja Cements	Adani Group	Pan India	67.8	143
Aug '23	Sanghi Industries	Ambuja Cements	West	6.1	98
Dec '23	Kesoram Industries	UltraTech	South	10.8	84
Apr '24	India Cements (grinding unit)	UltraTech	South	1.1	35
Apr '24	My Home Industries (grinding unit)	Ambuja Cements	South	1.5	33
Jun '24	Penna Cement	Ambuja Cements	South	14	89
Jun '24	India Cements#	UltraTech	South	14.5	88
Jul '24	India Cements*	UltraTech	South	14.5	121

#BOUGHT FROM R.K. DAMANI AND ASSOCIATES; *BOUGHT FROM PROMOTERS AND ASSOCIATES; EV/TONNE IS ENTERPRISE VALUE PER TONNE **DATA** AS OF JULY 28, 2024 **SOURCE** COMPANIES, EMKAY RESEARCH

in FY24. “It is also about putting money into waste heat recovery and solar capacity. Over 29% of their power requirement comes from renewable energy,” he says.

Cement has challenges as a commodity, such as heterogeneous regional markets and pricing pressures.

In an interaction in February this year, UltraTech MD K.C. Jhanwar told *Business Today* that the company’s philosophy is to work on a long-term vision that increases shareholder value. He said that UltraTech strives for operational excellence and does not miss out on new product development, especially green products.

Birla told shareholders last year that the company astutely anticipated and

capitalised on India’s growth opportunities and that it “is now strategically positioned to amplify its growth trajectory”.

Adani is playing to its strengths. Most of its existing businesses need cement and concrete, and it owns coal mines to power cement manufacturing. “It is an attractive adjacency given that we are in areas such as ports, green energy and e-commerce. It gives us a significant competitive advantage and unmatched scale,” Gautam Adani, Chairman of the group, had said at the time of concluding the Ambuja-ACC buyout. He emphasised the Adani Group’s ability to drive operational efficiency and learn from its earlier buyouts. “We expect significant margin expansion and want to

626

MTPA
TOTAL INSTALLED
CEMENT
CAPACITY
CURRENTLY
IN INDIA

SOURCE ICRA
RESEARCH